

Amendment No. 3 to HB1881

Hicks G
Signature of Sponsor

AMEND Senate Bill No. 1585*

House Bill No. 1881

by deleting Section 4 and substituting:

SECTION 4. Tennessee Code Annotated, Section 49-6-2602(3), is amended by deleting subdivision (D) and substituting:

(D) Is a member of a household with an annual income for the previous year that does not exceed four (4) times the federal income eligibility guidelines for free or reduced-price lunch;

SECTION 5. Tennessee Code Annotated, Section 49-6-3504, is amended by adding the following as a new subsection:

(f) If the number of scholarship applications received by the department exceeds the number of scholarships available for the respective school year, then the department may consider an eligible student's completed scholarship application as that student's application for an education savings account for the same school year and may award that student an education savings account in lieu of a scholarship if the student is an eligible student as defined in § 49-6-2602 and otherwise meets the requirements in part 26 of this chapter for the student to receive an education savings account.

SECTION 6. Tennessee Code Annotated, Section 49-6-2604(a)(2), is amended by adding the following as a new subdivision:

(C) A process, including, but not limited to, the establishment of additional application windows, forms, and procedures, for the department to consider the completed application of an eligible student, as defined in § 49-6-3502, for a scholarship, as defined in § 49-6-3502, as the student's application for an education savings account

pursuant to this part for any school year for which the number of scholarship applications received by the department exceeds the number of scholarships available. It is the intent of the general assembly that the department begin implementing the process required pursuant to this subdivision (a)(2)(C) for the 2026-2027 school year;

SECTION 7. Tennessee Code Annotated, Section 49-6-2604, is amended by deleting subsections (b)-(e).

SECTION 8. Tennessee Code Annotated, Section 49-6-2605(e), is amended by deleting "and families with students listed under § 49-6-2604(e)".

SECTION 9. The state board of education shall promulgate emergency rules to effectuate this act for the 2026-2027 school year in accordance with the Uniform Administrative Procedures Act, compiled in Tennessee Code Annotated, Title 4, Chapter 5.

SECTION 10. Section 1 of this act takes effect July 1, 2026, the public welfare requiring it. All other sections of this act take effect upon becoming a law, the public welfare requiring it, and apply to the 2026-2027 school year and each school year thereafter.